



May 28th, 2003

Bryant L. VanBrakle, Secretary
Federal Maritime Commission
800 N. Capitol St., NW
Washington, D.C. 20573-0001

Re FMC Docket No. 02-15, Passenger Vessel Financial Responsibility.

Dear Mr. VanBrakle:

On behalf of the cruise-selling agents of the National Association of Cruise-Oriented Agencies, we would like to thank you for this opportunity to comment on a proposal before the Federal Maritime Commission to eliminate the long-standing ceiling on the amount of unearned passenger revenue (UPR) coverage required of cruise lines operating from U.S. ports, and to require such cruise lines to post coverage in the amount of 110% of UPR.

In our view, establishing such a requirement for cruise lines unnecessarily dampens the cruise industry, including the travel agent community, without providing real corresponding benefits to the passengers sought to be protected.

The current bond requirement of \$15 million per cruise line adequately covers most of the small cruise lines, which are the ones generally at greatest risk to fold without warning. As noted in the Notice of Proposed Rulemaking, the larger cruise lines have grown tremendously since the ceiling was increased to \$15 million more than ten years ago. It is certainly easy to imagine that the additional passenger deposits generated with the increased numbers of ships could lead to higher risk of customers losing their funds in the event of a major cruise line bankruptcy. Yet, the larger cruise lines are subject to greater scrutiny and, unlike the failed cruise lines, have a wealth of collateral in their fleets of new ships to cover customer deposits.

The major cruise lines are listed on public stock exchanges, and are subject to public financial disclosure requirements. It is unlikely that these large cruise lines could slide into serious financial difficulties without broad public awareness. This gives some opportunity for prospective passengers and travel agents to withdraw deposits with the cruise line. In the unlikely event that a major cruise line were to fail, it is highly likely, given the value of the vessels and brand name, that the vessels would keep operating and deposits be honored - much as happened in the recent United and U.S. Airways bankruptcies. Even if operations ceases altogether, recovery

will be available through the sale of a small portion of cruise line's considerable assets, particularly given the consumer deposits priority protection under the Bankruptcy Code.

The cruise industry is potentially vulnerable to a dramatic downturn in business if there were to be a terrorist effort against a cruise ship. However, we do not believe that this possibility warrants the proposed 110% coverage. As travel agents, we can vouch for the fact that most of our clients have relatively short memories of bad events, or refuse to live controlled by fear of the unknown. Any downturn is likely to have "short legs." The cruise lines have also demonstrated remarkable ingenuity in coaxing prospective passengers past their fears in short order, as recently shown with the damaging publicity of the Norwalk virus and unease over recent events in the Middle East.

We are concerned that requiring 110% of coverage would force the cruise lines to charge higher prices and would slow their growth. The impact on travel agencies is that they would have to work harder to sell at higher prices without a corresponding increase in income. Any additional cost or paperwork requirement imposed on travel agents incident to the proposed tracking and reporting of credit card payments would be uncompensated and very burdensome. Just as a refresher, we must note that the majority of travel agencies are small businesses, providing a valuable service to the public at low financial compensation. Approximately half of travel agencies are owned by women, many of whom depend on their profession for most of their income. Any further demand or sacrifice asked of travel agents should be considered only if there is compelling merit to the cause.

In this period of softness in the travel industry, the cruise lines have successfully survived by lowering prices to entice reluctant vacationers into cruising. Having to dramatically raise prices now would cut into the numbers of passengers who cruise, hurting both cruise lines and travel agency earnings, in addition to costing the consumer more.

In conclusion, we believe there is no merit to the proposed increase in cruise line bonding requirements. Instead, there is the potential for real harm to the travel agent community by forcing increased operating costs and less revenue due to fewer client bookings, all for no apparent benefit gain by the consumer. We therefore urge you to reject the proposed change and to maintain the current ceiling. Should you nevertheless decide that some modest increase in the ceiling is appropriate, we urge you to phase it in gradually, to minimize any shock to the currently sensitive travel environment.

Thank you again for this opportunity to voice our concerns on this important matter.

Sincerely,

Donna Kay Esposito
President

Mary S. Brennan
Legislative Chairman